

Life Plan: Age 20 → 50 → 85

Built from your two planning documents plus your phase chart, July 2026. Not financial advice. Verify product specifics and tax rules before acting.

The one number that matters most

Retirement SIP starts at	Corpus at 50 (₹20k/mo, +10%/yr, 12%)
21	₹15.17 cr
22	₹13.14 cr
23	₹11.36 cr
24	₹9.82 cr
25	₹8.47 cr

Every year of delay costs roughly ₹1.5–2 crore. No fund choice, expense ratio, or allocation decision in this document comes close. Start the SIP at a token amount the month you have income, and never stop it — not to clear the loan faster, not for the car, not for the wedding.

Corrected target

Component	Amount at 50
Retirement (₹50k/mo today, 6% inflation, 28×)	₹9.65 cr
Education, 2 children (₹15L degree today, 8% inflation)	₹2.71 cr
Education, same at 10% inflation	₹4.58 cr
Total capital need	₹12.4 - 14.2 cr

Required SIP to reach ₹13 cr, with 10% annual step-up:

Start age	At 12% returns	At 10% returns
22	₹19,800/mo	₹26,600/mo
23	₹22,900/mo	₹30,400/mo
24	₹26,500/mo	₹34,800/mo

Note the final-year figure: starting at 22, your SIP at age 49 is ₹2.59 lakh/month. That is what a 10% step-up compounds into. It should feel manageable because your income compounds too — but see it now so it isn't a shock at 40.

Why I restructured your chart

Yours is organised by **events** — marriage, car, child. Events are outputs. A plan should be organised by **what the money is doing**, because the money jobs overlap and the events don't wait for them.

Money job	Runs from	To
Repair the balance sheet	20	23
Protection layer	21	permanent
Retirement accumulation	21	50
Goal funding (car, marriage)	23	29
Education funding	29	51
Glide to withdrawal	45	50
Withdrawal	50	85

Retirement accumulation runs for 29 straight years and overlaps everything. That's the point your event-based chart obscures.

THE PERIODS

Age 20–21 • Final year (now → mid-2027)

Situation: studying, intern stipend, ₹6L gold loan, ₹1.5L Bull-Stock, no buffer, no own insurance.

The job: information and habits. Not returns.

Action	Why now
Find the gold loan's exact rate, tenure, renewal date, gold weight pledged	Still your #1 unknown. One afternoon
Refinance to a bank if above ~12%	₹78k/year swing between 9% and 22%
Convert bullet/interest-only → EMI	Otherwise principal never moves
Decide the Bull-Stock question deliberately	₹1.5L against ₹6L at 14%+ is a ₹21k/yr certain loss
Buy your own health insurance	Premiums never cheaper; no exclusions yet
Get your parents' health floater quoted	The largest gap in your plan
Start a ₹2,000 SIP	Habit, and to feel a drop while stakes are small
Write your crash rule on paper, signed and dated	Present-you overrules future-you
Nominations on every account	Five minutes each

Do not: buy a car, take any new loan, increase Bull-Stock.

Age 21-23 • Launch and repair

Situation: first full-time job. Income ramping toward your ₹1.5L target. This is the hardest period — everything competes.

Bucket	Share of take-home
Living + parents	45%
Gold loan	30%
Emergency fund → 6 months	15%
Retirement SIP (never zero)	10%

At ₹1L take-home: ₹30k/month clears ₹6L in **20-22 months** including interest. With Bull-Stock liquidated first, roughly 16 months.

Milestones to hit before leaving this period:

- ☐ Gold loan = ₹0
- ☐ Emergency fund = 6 months of essentials *including parents' support*
- ☐ Own health policy active
- ☐ Parents' senior floater active
- ☐ **Term insurance active** — see note below
- ☐ Retirement SIP running unbroken for 12+ months

On term insurance: both your documents trigger it at marriage. That is wrong for your situation. You support your parents from day one of this period, and your ₹6L loan is secured against *family jewellery*. If something happens to you at 22, your family loses the gold and the monthly support at the same time. Correct trigger: **someone depends on your income, or you carry secured debt against family assets**. Both are true now. ₹1-1.5 cr, pure term, cover to 60, ₹10-15k/year at your age and locked for decades.

When the loan clears: redirect the entire 30% to the SIP immediately, before your lifestyle notices it. You have already proven you can live without that money.

Age 23-28 · Accumulation, marriage, car

Situation: debt-free, protected, income at or near target. This is where wealth actually starts.

Bucket	Share
Living + parents	40%
Retirement SIP	30%
Pre-30 goals (car, marriage)	25%
Buffer top-up	5%

Goal money is not equity. A car at 27 cannot sit in Nifty at 26.

Horizon	Instrument
Under 3 years	RD, arbitrage fund, liquid fund
3-8 years	Hybrid fund, 35-65% equity (keeps 12.5% LTCG after 24 months)

Marriage: start the bucket four years before the intended date. Fund it from the 25%, not from the SIP.

Car: buy from the car bucket, in cash. If financed, keep it under 3 years and the EMI under 10% of income. A car bought on a 7-year loan at 28 is a decade of compounding surrendered for a depreciating asset.

Step-up discipline begins here. Every April, +10% on the SIP. Every raise, at least 50% into investing before lifestyle absorbs it. Set the calendar reminder now, at 20 — the habit is worth more than every fund decision in this document.

Age 28–33 · Children

Situation: first child ~29, second ~32. Expenses jump permanently. This is where most plans quietly break.

Open a separate education SIP at each birth. Not a mental bucket — a separate folio, separately named, so it can never be raided for a car or a holiday.

Education corpus per child, ₹15L degree today:

Inflation	Child born at 29 (18 yrs)	Child born at 32 (18 yrs)
8%	₹0.60 cr	₹0.60 cr
10%	₹0.83 cr	₹0.83 cr

(figures in future rupees at the child's age 18; the ₹1.97 cr / ₹2.62 cr numbers earlier are the same corpora carried to your age 50 for total-need comparison)

Education de-risking calendar — write this in now:

Years to admission	Equity share
More than 10	100%
10 → 5	Glide to 50%
5 → 2	Glide to 20%
Under 2	0% — cash and RDs only

Miss this and a 2008-style crash in your child's Class 12 year costs you the degree, not just the returns.

Also in this period:

- Increase term cover — dependents doubled. Rule of thumb: 15–20× annual income
- Convert your health policy to a family floater, or add child cover

- Review parents' health cover; they are now ~60 and premiums step up
- Retirement SIP **continues and keeps stepping up**. Education is additional, not a substitute

Age 33-45 • The long grind (your "30-50" line, opened up)

Situation: peak earning years. Nothing dramatic happens. This is where ~70% of your final corpus is created, almost entirely by not interfering.

Bucket	Share
Living + family	40%
Retirement SIP	30%
Education SIPs (2 children)	20%
Buffer, insurance, discretionary	10%

The work is nearly all behavioural:

Every	Do this
April	Step up the retirement SIP 10% and the education SIPs with inflation
Year	Rebalance to target allocation. Once only. No tinkering
Year	Re-run old vs new tax regime
3 years	Benchmark Bull-Stock honestly against Nifty 50, after costs and tax. If it hasn't won across a full cycle including a bad year, cut it
5 years	Review insurance cover against current income and dependents

Your parents are 60→72 across this period. Their medical costs rise steeply and their insurance may hit renewal limits or exclusions. Budget for a rising annual figure rather than assuming today's support number holds for thirty years. This is the single most commonly underestimated line in Indian plans.

Property, revisited at 40+. Your documents settled this correctly — a ₹50L cash purchase at 30 costs ₹50L *plus* what it would have become. Revisit at 40+ when a house is a small fraction of the corpus rather than all of it, and buy in cash. Not for tax. Section 24(b) gives nothing on self-occupied property under the new regime.

The two risks nobody plans for: a 12-18 month income interruption (layoff, health, career change), and lifestyle inflation quietly eating the step-up. The first is why the emergency fund grows with income, not stays at its age-23 size. The second is why 50% of every raise is committed before it arrives.

Age 45-50 • The glide

Situation: five years out. Two things happen simultaneously — you de-risk, and your children hit university. Your documents don't model the collision.

Child 1 enters college around your age 47, child 2 around 50. Peak education outflow lands inside your de-risking window.

Sequence, not a switch:

Age	Equity	Debt	Cash
45	80%	20%	—
46	72%	28%	—
47	65%	33%	2%
48	58%	38%	4%
49	52%	42%	6%
50	45-50%	42-47%	8% ($\approx$ 3 years of expenses)

Correction — an earlier version of this document recommended 60/40. That was wrong.

The original argument computed *nominal return* – *inflation* = *real return* and compared it to the 3.5% withdrawal rate. That method cannot detect sequence-of-returns risk, which does most of the work in any withdrawal analysis. A portfolio with a good average return still fails if the bad years arrive first.

Re-tested properly: 20,000 Monte Carlo paths, 35 years, equity 12% mean / 22% sd, debt 7% / 3%, inflation 6%, withdrawals rising 6% annually.

Failure probability (corpus exhausted before year 35):

Equity	3.0% WR	3.5% WR	4.0% WR	4.5% WR
20%	2.4%	15.7%	44.5%	74.0%
30%	4.5%	16.4%	35.3%	58.7%
40%	7.3%	17.4%	32.8%	49.5%
50%	9.4%	19.0%	30.6%	44.7%
60%	11.8%	20.3%	31.3%	42.1%
70%	14.9%	22.9%	32.2%	41.5%
80%	17.0%	24.7%	33.0%	41.6%

Three findings:

1. **At a 3.5% withdrawal rate, lower equity wins.** The 20–50% band minimises failure — consistent with published Indian SWR research. The 60/40 recommendation *increased* failure probability from 19.0% to 20.3% versus your original 50/50
2. **The deterministic test was off by an order of magnitude.** It reported 40/60 "surviving comfortably, ending at 556% of starting value." Simulation gives it a 17.4% failure rate. That difference is sequence risk
3. **The optimum depends on the withdrawal rate, not on the horizon alone.** The relationship inverts above ~4%: at 4.5%, high equity becomes the safer choice. Any rule stated without reference to the withdrawal rate is incomplete

Treat this as open, not settled. You are 25 years from needing to decide, and the answer moves with the withdrawal rate, actual inflation, and how flexible your spending turns out to be. Plan for 45–50% equity at 50; re-run this simulation at 45 with real numbers.

Model limitations — normal distributions with no mean reversion (overstates tail risk), fixed inflation with no variance, and failure defined as hitting zero, which ignores that real retirees cut spending in bad years. Directionally robust; not precise.

The 28× assumption also needs revisiting

At 3.5%, failure is 15–25% across every allocation. That is not a "safe" withdrawal rate. At 3.0% it falls to 2–17%.

Withdrawal rate	Multiple of expenses	Retirement corpus at 50
3.5%	28×	₹9.65 cr
3.0%	33×	₹11.40 cr

Flagged, not banked — the model's conservatism cuts both ways. But if you want genuine safety margin rather than a coin-flip, 33× is the more defensible planning number.

Also in this window:

- Education money for both children must be fully out of equity
- Final term insurance review — cover may no longer be needed if the corpus is self-insuring
- Health insurance becomes critical: employer cover ends at 50, and you have 10+ years before any senior scheme

Age 50+ · Withdrawal

The bridge problem your plan doesn't address. You retire at 50. But:

- EPF — full withdrawal generally on retirement at 55, or after a qualifying unemployment period. Verify current rules
- NPS — premature exit before 60 forces the large majority of the corpus into an annuity above a small-corpus threshold

On the NPS thresholds — do not hard-code a number here. An earlier version of this document stated ₹2.5 lakh for premature exit. PFRDA restructured exit rules substantially in 2025–26 and, as of July 2026, published sources disagree:

Source	Premature-exit full-withdrawal threshold
India Post, Jun 2026	₹5 L
GoCredit, Apr 2026	₹2.5 L, with a 25/75 split above it (not 20/80)
Kustodian, Apr 2026	₹5 L in one section, ₹10 L in another
Ujjivan SFB	₹2.5 L

Confirmed across sources: the **minimum 5-year lock-in for premature exit has been removed**, and normal exit at 60 now uses corpus tiers (roughly ₹8 L and ₹12 L) rather than a single 60/40 split.

The planning conclusion is unchanged and does not depend on the number: NPS gates the bulk of the corpus behind age 60 and an annuity purchase. For someone targeting retirement at 50, that is the wrong vehicle regardless of where the threshold sits. The 80CCD(1B) deduction does not compensate for money locked past the age you plan to stop working.

Verify the live figures on the PFRDA or NPS Trust site when this actually becomes a decision — around age 45, not now.

So a 5-10 year bridge between 50 and 55/60 must be funded entirely from mutual funds.

Two consequences:

1. **Do not over-fund NPS.** The 80CCD(1B) deduction is a poor trade for money locked past the age you plan to stop working
2. **Treat EPF as a second-stage asset** that arrives at 55-58, not part of the corpus you draw from at 50

Three-bucket withdrawal structure:

Bucket	Holds	Purpose
Cash	2-3 years of expenses	Never sell equity in a down year
Debt	Years 4-10	Refill cash annually
Equity	Years 10+	Refill debt in good years only

Rules:

- Refill cash from debt annually; refill debt from equity **only in years the market is up**
- Withdraw via SWP, not lump sums. Only the gain portion of each redemption is taxed — LTCG 12.5% above ₹1.25L/year
- Harvest ₹1.25L of long-term gains every year regardless; it resets cost basis free
- Recheck the withdrawal rate every 5 years against actual inflation and actual returns

Rising equity glide after 50. Counter-intuitive but well evidenced: once you survive the first 10 years, let the equity share drift back up. The risk in years 25-35 is running out of purchasing power, not volatility.

Cross-cutting

Insurance ladder

Cover	Buy at	Review
Own health, ₹10L + super top-up	20-21	Every 5 years
Parents' senior floater	Immediately	Annually — premiums step at 60, 70
Term, ₹1-1.5 cr	21-22 (not at marriage)	On marriage, each child, each big raise
Family floater conversion	On marriage	On each child
Personal accident / disability	With first job	Every 5 years

Pure term only. Never bundled with investment.

Bull-Stock rule

Split	Share
Tax reserve (STCG 20%, median hold 3.5 months)	20%
Parents, trips — guilt-free	40%
Reinvest into index funds	40%

While the gold loan exists, the 40% reinvest goes to the loan instead.

Unresolved: the ₹1.5L of principal is walled off while you carry ₹6L at possibly 14-22%. Your own logic — guaranteed beats hoped-for — liquidates it. If you keep it, write down why, as a costed exception. It's currently the loudest inconsistency in your plan.

Review calendar

When	What
Every April	Step up SIP 10%. Non-negotiable
Annually	Rebalance once. Tax regime check. LTCG harvest
Every 3 years	Bull-Stock vs Nifty 50, honestly, after tax
Every 5 years	Insurance vs income. Withdrawal rate vs reality
On any life event	Marriage, child, job change, parent's health event

What actually breaks this plan

Ranked by probability $\times$ damage.

1. **Delaying the retirement SIP to 24.** ₹5.35 cr. Already in your chart. Fix it first
 2. **A parent's medical emergency with no cover.** Drains the buffer, forces the equity sale the whole plan exists to prevent
 3. **Lifestyle inflation eating the step-up.** The failure mode is invisible — no crash, no bad decision, just a SIP that stops growing at 35
 4. **Education underfunded.** ₹2.7–4.6 cr that isn't in your ₹9.8 cr target
 5. **Returns at 10%, not 12%.** ₹20k $\rightarrow$ ₹26.6k required. Test this every 5 years against actual performance, not assumption
 6. **Buying property in the 30s.** Settled in your documents. Keep it settled
 7. **Income interruption at 35–45.** Emergency fund must grow with income, not stay at its age-23 size
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Still open

- **Gold loan interest rate** — blocks the entire repair phase
- **Expected monthly take-home at 22** — turns every percentage above into a rupee schedule
- Parents' ages and any pre-existing conditions — needed to price their cover
- Your real expense base: is ₹50,000/month today's-money accurate for a family of four with parental support? If it's ₹75,000, the retirement corpus alone becomes ~₹14.5 cr
- Whether to plan at 28 $\times$ or 33 $\times$ expenses (see the withdrawal section)

Already settled — not reopening:

- **Index funds, not ETFs, for monthly SIPs.** True auto-debit and fractional units beat a 0.1% expense-ratio edge across 300+ purchases; avoiding bid-ask spread and manual order entry matters more than the fee. ETFs stay available for occasional lump sums. Direct plans, growth option
- No home loan for tax saving. No house purchase in the 20s or 30s. Continue every SIP through a crash, automated. Pure term insurance only, never bundled